

The Government of Chhattisgarh has been encouraging entrepreneurs to enlarge the State's industrial base, especially the steel sector, which is very important to the development of other sectors. This has necessitated ensuring adequate iron ore supply to these steel plants. And to meet the iron ore demands of the Chhattisgarh based steel and sponge iron manufacturers, NMDC and the Chhattisgarh

performance was excellent in iron ore. But in the changing business scenario, it has to get into value addition very seriously. For this purpose, your Company signed an MoU on 17th August 2007 with Steel Authority of India Limited and Rashtriya Ispat Nigam Limited to set up a 4-million tonne per annum integrated steel plant in Chhattisgarh, using the iron ore from Bailadila.

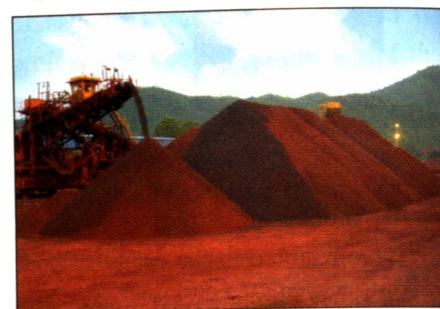
The steel plants would require consistent supply of met coke to maintain production. As India does not have sufficient quantity of met coke, it has to be imported. It is in this context that your Company evinced interest in joining the Special Purpose Vehicle (SPV) being planned by SAIL, RINL, CIL and NTPC under the auspices of the Ministry of Steel, Government of India. The SPV would organize the whole process from looking for suitable coal properties abroad to making the coal available for use in the plants of the SPV members.



Your Company has expanded its activities to foreign shores as well. In Tanzania the exploration for gold is progressing well.

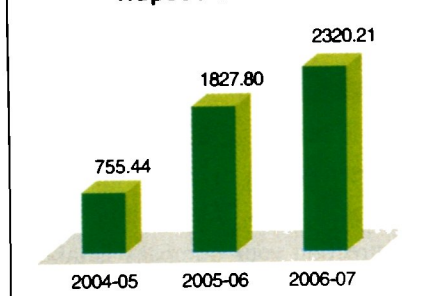
As part of looking for business opportunities in Africa, the NMDC team at Tanzania came across information about certain prospective mineral properties in the Kingdom of Lesotho in Africa. As the local laws there require that a company should be formed to hold mineral rights, it has been decided to form a subsidiary

company in the Kingdom of Lesotho. The Government of India has now conveyed its approval to our opening the office in Lesotho. This project is expected to take off shortly.



The Corporate Social Responsibility (CSR) has now become a very common name in the industry today. However, the essence of CSR has been part of your Company's activities from the very inception. Initially, when the Company earned little or low levels of profit, the efforts were based on what your Company could afford. The activities were carried out under Community Development Programme and Peripheral Development Programme. When its profit levels have gone up, your Company has made it more streamlined. The funding has been increased from time to time. It has now been decided to set apart, exclusively for CSR, 5% of the Company's retained earnings. For the current year, the amount works out to Rs.89 crore. A sub-committee of Directors has been constituted to prepare a concept plan and draft guidelines for the CSR activities of your Company. In order to make the CSR activities more focused

Profit After Tax
Rupees in Crore



Government have decided to develop Bailadila iron ore deposit no. 13 into a modern mine as a joint venture project with Chhattisgarh Mineral Development Corporation Ltd. The Shareholders' & Joint Venture Agreement has since been signed, and the JV company will be incorporated shortly.

In the year 2004, the proposal for broad gauge rail link to Rowghat-Bhilai and to Jagdalpur was reconsidered and the project has gained momentum with the Central and State Governments giving the necessary impetus. Accordingly, the first phase of the project, connecting Dalli-Rajhara and Rowghat is in advanced stage of starting the construction activities. For the second phase of the project, connecting Rowghat and Jagdalpur, land identification process has started. The revised MoU between the Railways, Government of Chhattisgarh, SAIL and NMDC is expected to be signed shortly.

Your Company is now at crossroads. Its

Total Dividend
Rupees in Crore

